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Case Number: 22STCV34212 Hearing Date: August 10, 2026 Dept: 316

BACKGROUND

Plaintiff was employed by Defendants

E.M. Pizza dba Domino's Pizza and Northcentral Pizza, LLC as a driver at Defendants' facility in Fresno, CA from approximately May 2022 to June 2022. On October 24, 2022, Plaintiff

filed a complaint alleging (1) failure to provide meal periods; (2) failure to authorize and permit rest periods; (3) failure to pay minimum wages; (4) failure to pay overtime wages; (5) failure to pay all wages due to discharged and quitting employees; (6) failure to maintain required records; (7) failure to furnish accurate itemized wage statements; (8) failure to indemnify employees for necessary expenditures incurred in discharge of duties; (9) unfair and unlawful business practices; (10) representative action for penalties under the Labor Code Private Attorneys General Act.

On February 3, 2023, Plaintiff filed a dismissal of the class allegations and Defendant Northcentral Pizza, LLC.

On October 6, 2025, Plaintiff filed a Notice of Settlement. On February 17, 2026, the parties executed a PAGA settlement agreement (the "Agreement"). On April 20, 2026, Plaintiff submitted a copy to the Labor and Workforce Development Agency ("LWDA") April 21, 2026, Plaintiff filed his Motion for Approval of PAGA Settlement. As of August 5, 2026, no responses to the Motion have been filed.

TENTATIVE

RULING

Plaintiff's

Motion to Approve PAGA Settlement is GRANTED in part and limited in part. Plaintiff's request is granted as to approval of the Agreement. Attorney's fees payable to counsel from the Gross Settlement Proceeds are approved in the amount of \$200,120. Costs payable to counsel from the Gross Settlement Proceeds are approved in the amount of \$41,525.94.

LEGAL STANDARD

"In September

2003, the Legislature enacted [PAGA] (Lab. Code, § 2698 et seq.; Stats. 2003, ch. 906, § 2, eff. Jan. 1, 2004).² The

Legislature declared that adequate financing of labor law enforcement was necessary to achieve maximum compliance with state labor laws, that staffing levels for labor law enforcement agencies had declined and were unlikely to keep pace with the future growth of the labor market, and that it was therefore in the public interest to allow aggrieved employees, acting as private attorneys general, to recover civil penalties for Labor Code violations, with the understanding that labor law enforcement agencies were to retain primacy over private enforcement efforts.³ (Stats. 2003, ch. 906, § 1.)⁴ [Citation.]⁵ (Moniz v. Adecco USA, Inc. (2021) 72 Cal.App.5th 56, 73-74 ("Moniz").)⁶⁷ ⁸

The PAGA is "a procedural statute allowing an aggrieved employee to recover civil penalties—for Labor Code violations—that otherwise would be sought by state labor law enforcement agencies." (Amalgamated Transit Union, Local 1756, AFL-CIO v. Superior Court (2009) 46 Cal.4th 993, 1003.) The statute provides a mechanism for private enforcement of Labor Code violations for the public benefit. (Arias v. Superior Court (2009) 46 Cal.4th 969, 986.)

"Only an

'aggrieved employee' has standing to bring a civil action under PAGA.⁹ [Citation.]¹⁰ An 'aggrieved employee' is 'any person who was employed by the alleged violator and against whom one or more of the alleged violations was committed.'¹¹ [Citation.]¹² (Moniz, supra, 72 Cal.App.5th at p. 74.)¹³¹⁴ ¹⁵

"An aggrieved

employee suing under PAGA 'does so as the proxy or agent of the state's labor

law enforcement agencies.’ [Citation.]” (Moniz, supra, 72 Cal.App.5th at p. 74.) “In a PAGA lawsuit, ‘the employee plaintiff represents

the same legal right and interest as state labor law enforcement

agencies—namely, recovery of civil penalties that otherwise would have been

assessed and collected by the [LWDA].’ [Citation.]” (Ibid.) “The

‘government entity on whose behalf the plaintiff files suit is always the real

party in interest.’ [Citation.]” (Ibid.) “‘Before

bringing a civil action for statutory penalties, an employee must comply with

Labor Code section 2699.3.’ [Citation.]” That section ‘requires the employee to give written

notice of the alleged Labor Code violation to both the employer and the [LWDA],

and the notice must describe facts and theories supporting the violation.’ [Citation.]” ‘Proper notice

under section 2699.3 is a ‘condition’ of a PAGA lawsuit.’ [Citation.]” (Uribe v.

Crown Building Maintenance Co. (2021) 70 Cal.App.5th 986, 1003.)

To

incentivize employees to bring PAGA actions, the statute provides aggrieved

employees 25 percent of the recovered civil penalties. (Lab. Code, §2699, subd. (i).) The remaining 75 percent is distributed to

the Labor and Workforce Development Agency (“LWDA”) “for enforcement of labor

laws and education of employers and employees about their rights and

responsibilities under [the Labor Code].”

(Id.)

“The

superior court shall review and approve any settlement of any civil action

filed pursuant to this part. The proposed settlement shall be submitted to the

agency at the same time that it is submitted to the court.” (Lab. Code, §2699, subds. (l) and (2).)

In reviewing the terms of a

settlement agreement, the court determines whether the settlement is fair,

reasonable, and adequate to all concerned, and not the product of fraud,

collusion, or overreaching. (Moniz,

supra, 72 Cal.App.5th at 77; Reed v. United Teachers Los Angeles

(2012) 208 Cal.App.4th 322, 337; Nordstrom Commission Cases (2010) 186

Cal.App.4th 576, 581.) Although a PAGA

plaintiff need not satisfy class action requirements (Arias, supra, 46

Cal.4th at 975), general principles applicable to class action settlements

apply equally in this context. (Moniz,

supra, 72 Cal.App.5th at 77.)

Thus, courts

have generally applied the same review standards used for class actions, which

inquire “independently whether a PAGA settlement is fair and reasonable.” (Moniz, supra, 72 Cal.App.5th at p. 77.) To determine if a PAGA settlement is fair and

reasonable, courts consider factors “including the strength of the plaintiff’s case, the risk, the stage of the proceeding, the complexity and likely duration of further litigation, and the settlement amount.” (Ibid.) Courts will also consider if the settlement is “adequate in view of PAGA’s purposes to remediate present labor law violations, deter future ones, and to maximize enforcement of state labor laws.” (Ibid.)

In the context of a class action

settlement, the court considers various factors including whether (1) the settlement is the result of arm’s length bargaining, (2) investigation and discovery are sufficient to allow counsel and the court to act intelligently, (3) counsel is experienced in similar litigation, and (4) the percentage of objectors is small. (Nordstrom, supra,

186 Cal.App.4th at 581; Wershba v. Apple Computer, Inc. (2001) 91

Cal.App.4th 224, 245.) In considering

the amount of settlement, the court is mindful that compromise is inherent and necessary in the settlement process. (Wershba, supra, 91 Cal.App.4th at 250.)

DISCUSSION

Plaintiff’s

PAGA Settlement

The terms of the Agreement are as

follows (Khalili Dec., ¶19, Ex. B):

- approximately 2,053 aggrieved employees who worked approximately 48,186 pay periods (Khalil Dec., ¶6.)

- PAGA Period is from August 20, 2021 through September 3, 2025

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Gross settlement amount of \$700,000

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PAGA counsel payment of \$233,333 (33% of gross settlement)

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PAGA counsel litigation expenses of \$41,525.94

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Enhancement Payment:

\$10,000

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Administration Expenses:

\$6,750

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"PAGA Penalties" are defined as the "Net Settlement Amount" under the Agreement. "Net Settlement Amount" is defined under the Agreement as the "Gross Settlement Amount" of \$700,000 less the Enhancement Payment, the PAGA Counsel Fees payment, PAGA Counsel Litigation Expenses Payment and Administration Expenses Payment. The PAGA Penalties total \$408,392 (75% to LWDA in the amount of \$306,294 and 25% to Aggrieved Employees in the amount of \$102,098).

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Individual aggrieved employees will receive checks for their proportionate amount of the \$102,098 in PAGA Penalties. Each individual aggrieved employee's share will be determined by (a) dividing the amount of the Aggrieved Employees' 25% share of the PAGA Penalties by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods.

Notice of PAGA Settlement

Proper

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Plaintiff sent a copy of the Agreement to the LWDA via

online submission before the filing of the Motion on April 20, 2026. (Khalili Dec., ¶20.) Plaintiff has complied with Labor Code section 2699, subsections (1) and (2).

Settlement Fair, Adequate and

Reasonable

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The settlement is presumptively reasonable because it was the result of significant investigation to evaluate the strength and value of the PAGA claim and the risks of litigating it through trial and it was negotiated at great length and effort by counsel with significant experience in this area. (Khalili Dec., ¶¶11-20.) Settlement was negotiated with the assistance of mediator Hon. Carl J. West (Ret.)

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Strength of Plaintiff's case. "The most important factor is the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement." (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130.) Plaintiff undertook extensive investigation to determine the strength of the PAGA claim and Defendant's maximum exposure. (Khalili Dec., ¶¶11-15, 21-28.)

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Defendant's estimated maximum exposure was calculated as approximately \$11,599,230.80 for 48,186 pay periods if calculated by Labor Code section, \$4,230,730.80 if stacked by claim and if not stacked at all, exposure drops to \$4,818,600. (Khalili Dec., ¶¶22-23.)

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Plaintiff took into account the strength and weakness of the PAGA Claim, the expense and uncertainty of continued litigation, including the possible cost of trial and appeal, the delay in obtaining relief due to continued litigation, and Defendant's denial that it violated the Labor Code. (Khalili Dec., ¶¶25-27.) Considering these factors, Plaintiff concluded that the settlement would be reasonable and in the best interest of the state and the public. (Id. at ¶27.)

Distribution of Penalty

Payment Proper

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Penalties recovered by aggrieved employees must be distributed as follows: (1) 75% to the LWDA and (2) 25% to aggrieved employees.

(Lab. Code, §2699, subd. (i).)

The Settlement Agreement's distribution of the penalties is in accordance with Labor Code section 2699, subsection (i). (Khalili Dec., Ex. B, ¶¶1.25, 3.2.5.)

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Plaintiff explains that each aggrieved employee will receive a portion of the 25% in penalties on a pro rata basis by (a) dividing the amount of the Aggrieved Employees' 25% share of PAGA Penalties by the total number of PAGA Pay Periods worked by all Aggrieved Employees during the PAGA Period and (b) multiplying the result by each Aggrieved Employee's PAGA Pay Periods. (Khalili Dec., Ex. B, ¶3.2.5.1.) Plaintiff states there are 2,053 employees who worked 48,186 Pay Periods during the PAGA Period. (Khalili Dec., ¶6.) If the Court approves PAGA Penalties of less than the amount requested, the Administrator will allocate the remainder to the Net Settlement Amount. (Khalili Dec., Ex. B, ¶3.2.5.2.) Thus, each pay period will be worth approximately \$2.12 using the figures of 48,186 total periods and 25% of the PAGA Penalties (\$102,098).

PAGA Service Award is Granted

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Plaintiff requests an enhancement payment of \$10,000.

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Service or enhancement awards are often included in PAGA settlements. (Turrieta v. Lyft, Inc. (2021) 69 Cal.App.5th 955, 963.)

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Plaintiff's request for a service award is granted. Plaintiff's service award is justified based on (1) the stigma attached to being a PAGA plaintiff, which Plaintiff claims will make it difficult for him to obtain employment in the future; (2) his release of claims, which is broader than the other Aggrieved Employees; and (3)

the time and effort he spent assisting in the litigation. (Lamar Dec., ¶¶6-11; Khalili Dec., ¶52.)

The Court Finds the Requested Attorney's Fees Excessive

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“Courts recognize two methods for calculating attorney fees in civil class actions: the lodestar/multiplier method and the percentage of recovery method.” (Wershba v. Apple Computer, Inc. (2001) 91 Cal.App.4th 224, 254, disapproved on other grounds in Hernandez v. Restoration Hardware, Inc. (2018) 4 Cal.5th 260.)

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The maximum amount of fees allowed for under the Agreement is \$233,333, which is approximately 33% of the Gross Settlement Amount (\$700,000).

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Counsel claims a lodestar of 213.5 hours @ hourly rates ranging from \$500/hr to \$1,150/hr for a total of \$182,120, plus an additional 20 hours @ \$900/hr for preparation and attendance at the PAGA Settlement Approval Hearing and monitoring the administration of the Settlement. Counsel also seeks application of a 1.18 multiplier. Counsel claims this results in a total lodestar of \$197,475. However, based on the Court's calculation, the total lodestar would be \$200,120 (\$182,120 plus \$18,000)

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The Court finds that counsel's estimation of 20 hours for the motion to confirm a PAGA settlement and monitoring of administration of the Settlement is reasonable.

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Counsel provides a declaration attesting to the attorneys who worked on the matter (six total attorneys), the amount of time that five of the attorneys worked on the matter, the hourly rate of each attorney, the professional background and experience of each attorney, the fact that the case was accepted on a contingency basis and the tasks performed by counsel. (Khalili Dec., ¶¶29-50.)

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The Court finds that claimed rates reasonable based on the

description of each counsel's experience and education and in light of the complexity of the litigation and the successful result achieved.

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Based on the information provided, the Court finds that the requested amount of \$233,333 in fees is somewhat excessive. While staffing the case with five attorneys appears reasonable, the vast majority of the hours claimed (171.9 of 213.5 or 80.5%) were incurred by the two attorneys with the highest rates. The litigation involved a significant amount of investigation, law and motion, discovery, expert data analysis and preparation and attendance at mediation, and it is unclear to the Court why more of that work could not have been handled by lawyers with lower billing rates. The Court will approve the full amount of the lodestar fees of \$200,120 as set forth in the declaration of Plaintiff's counsel Dalia Khalili. The Court will not award a multiplier on this amount given that counsel are being fully compensated for all time claimed at the full rate, including primarily time of the highest rate counsel as noted.

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Counsel is awarded fees in the amount of \$200,120.

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Using the common fund theory as a crosscheck shows that this award is 28.6% of the total settlement amount. The Court believes this to be a reasonable award and further support for the conclusion that this is a reasonable amount of fees in this case.

PAGA Litigation Costs
Sufficiently Documented

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Plaintiff requests costs in the amount of \$41,525.94. Plaintiff submits evidence in support of the costs. (Khalili Dec., ¶51, Ex. D.)

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The Court finds the requested costs reasonable and sufficiently documented.

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Plaintiff's request for costs is granted in the amount of \$41,525.94.

PAGA Administrator Costs

Reasonable

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Plaintiff requests administrator costs in the amount of \$6,750.

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The administrator costs are reasonable for the tasks the administrator will perform, which includes disbursement of the Gross Settlement Amount. (Khalili Dec., Ex. B, ¶¶3.1, 3.2, 4.3. 9.12.) The Agreement also provides for retention of the administrator to handle these necessary tasks. (Id. at ¶7.1)

Release of Claims under

Settlement is Fair and Reasonable

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Plaintiff provides a broad waiver of rights, including a waiver of rights under Civil Code section 1542. (Khalili Dec., Ex. B, ¶5.1.1.)

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The waiver required of “aggrieved employees” is limited to “any and all claims that accrued during the PAGA Period for penalties under PAGA which are based upon the factual allegations set forth in the operative complaint and/or Plaintiff’s notice to the LWEDA, as well as claims that could have been pled rising out of the same operative facts.” (Khalili Dec., Ex. B, ¶5.2.)

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The releases contained in the Agreement are therefore reasonable.

CONCLUSION

Plaintiff’s

Motion to Approve PAGA Settlement is GRANTED in part and limited in part. Plaintiff’s request is granted as to approval of the Agreement. Attorney’s fees payable to counsel from the Gross Settlement Proceeds are approved in the amount of \$200,120. Costs payable to counsel from

the Gross Settlement Proceeds are approved in the amount of \$41,525.94.